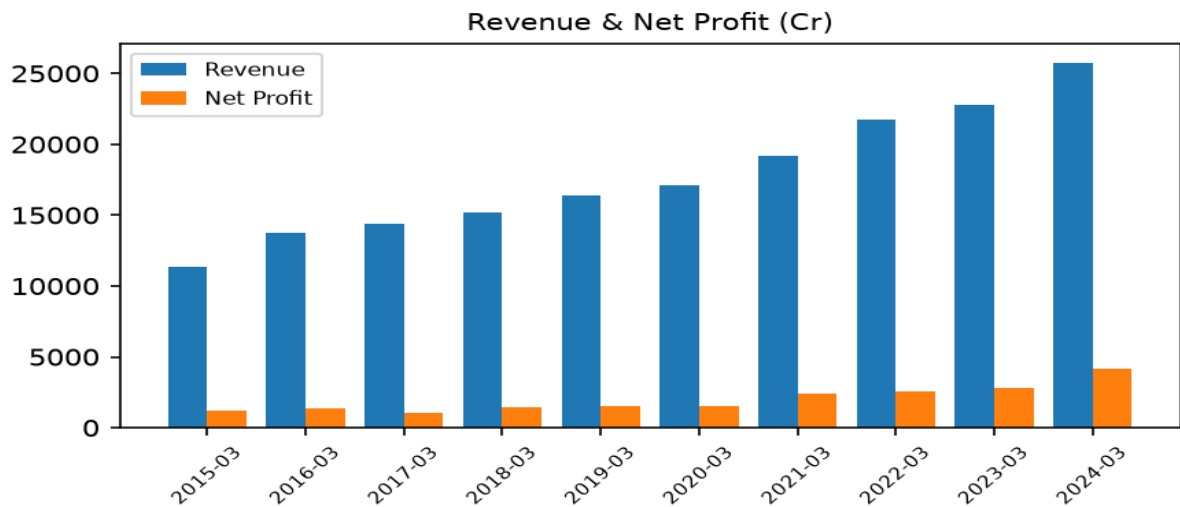


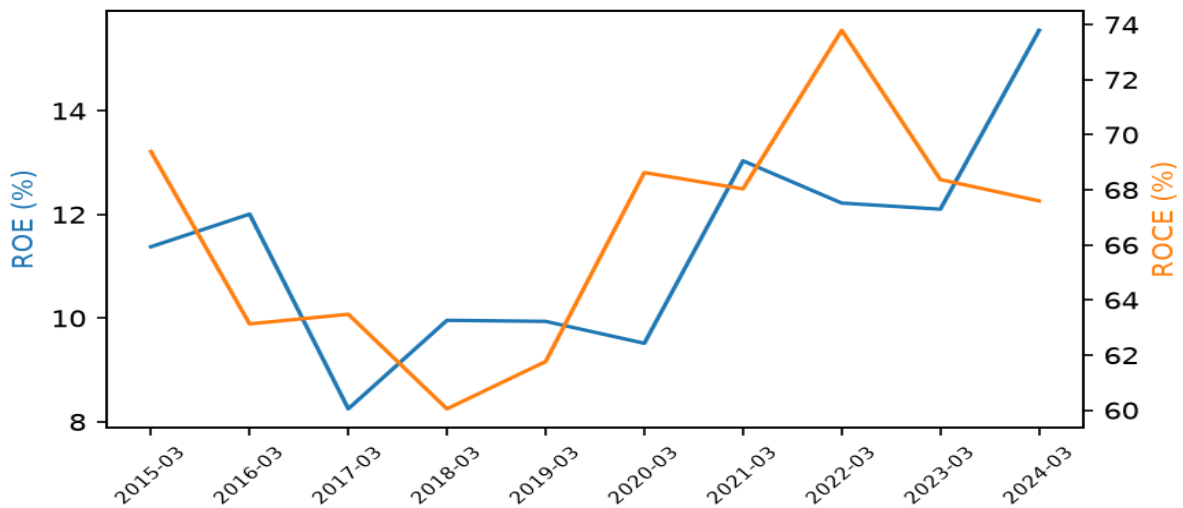
Cipla Ltd (CIPLA)

ROE 15.6%	ROCE 67.6%	Net Profit Margin 16.1%
D/E 0.0	Revenue CAGR 5yr 9.5%	Free Cash Flow (Cr) 1152.0

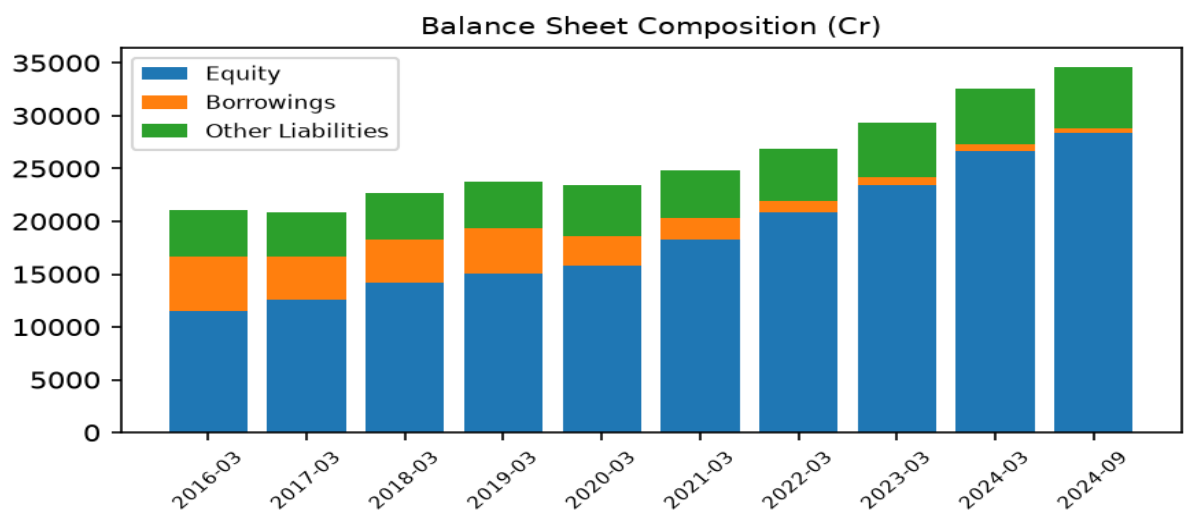
Revenue & Net Profit (10yr)



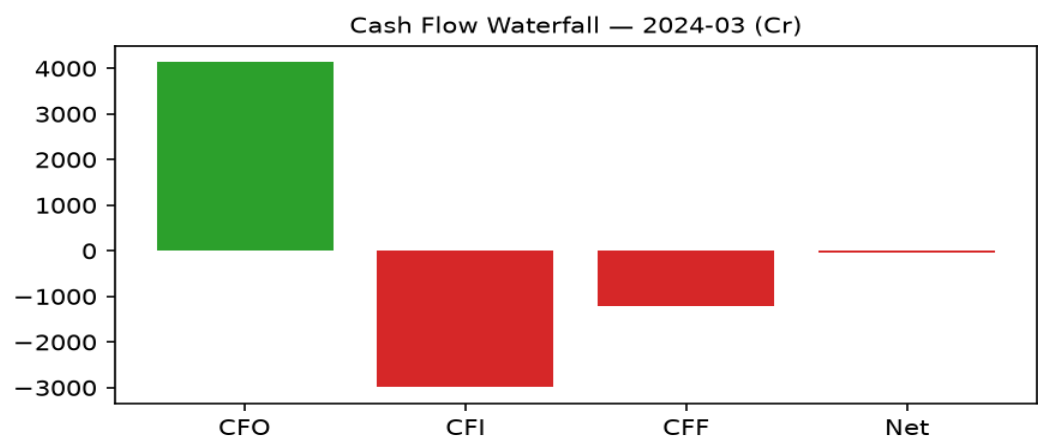
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation: Reinvestor